

Warby Parker

NYSE : WRBY \$3B mkt cap · 123M sh · \$286M cash, zero debt · Net cash +\$286M (no debt); ~122.7M shares; SBC ~5% of revenue (~\$12M/qtr), a live · Mature- dilution drag; Revenue \$872M FY25 (+13%); GAAP op margin -0.6% (still a small loss); FCF +\$30M (~3%); adj EBITDA ~12.2%; ~\$26, up Company DCF ~13-16% YTD, 52-wk \$14.96-\$31.00; added to S&P SmallCap 600 (Jun 2026); ~3x sales

\$24.60

THE CENTRAL QUESTION

Does store-led scale finally drive Warby Parker's EBITDA margin from ~12% toward high-teens/20% with durable GAAP profit and FCF — or stay a thin-margin, decelerating brand priced for an inflection?

Warby Parker trades at ~\$3.25B (~\$26.46, up ~13-16% YTD) — ~3x sales on \$872M revenue growing ~13%, net cash, but only a ~12% adj-EBITDA margin and razor-thin GAAP profit. The bull is store-led operating leverage finally lifting EBITDA toward high-teens/20% as the unit base scales from 323 toward ~900-1,000+, plus a Google AI-smart-glasses call-option outside guidance; the bear is decelerating customer growth (+4.8%), gross-margin compression, and the inflection never arriving. At ~3x sales the price already embeds the ramp, so the weighted finding is -42.1% and the modal case lands -43%.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$15.33 expected fair value today  
-37.7% vs spot \$24.60

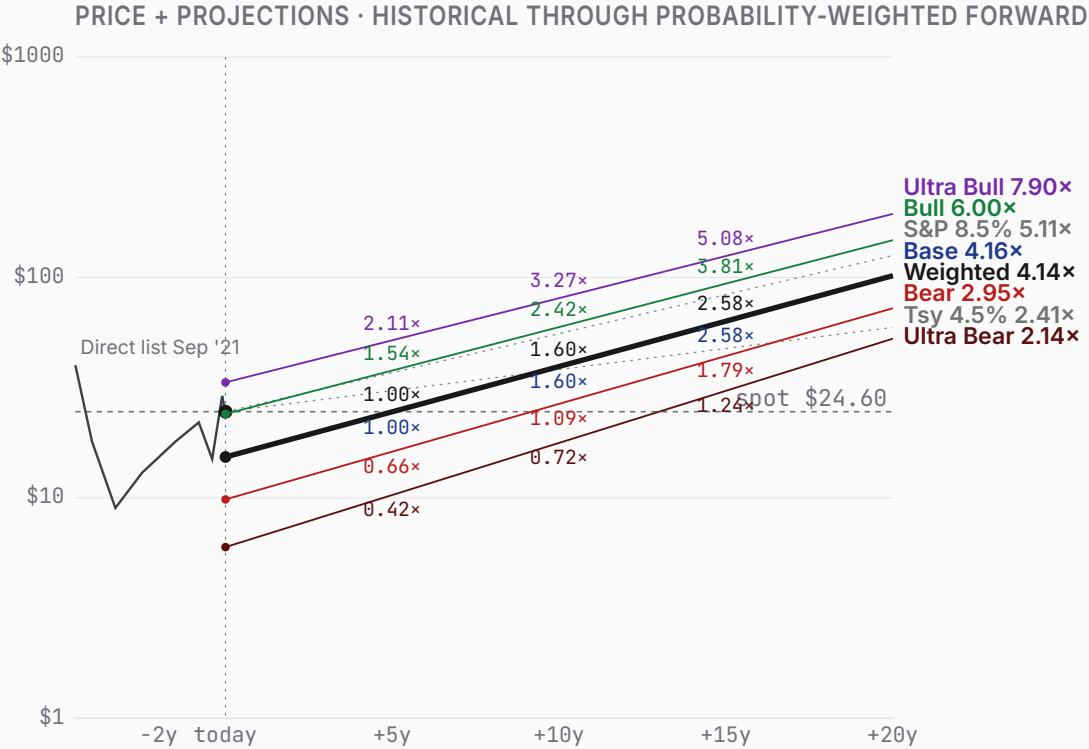
FORWARD COMPOUNDED VALUE

| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$24.58    | \$39.45    | \$63.37    | \$101.86   |
| 1.00x spot | 1.60x spot | 2.58x spot | 4.14x spot |

WEIGHTING RATIONALE

- Ultra Bear 15% Growth stalls; margin never inflects; ~\$5.98 (-77%).
- Bear 27% Stores grow but leverage crawls; ~\$9.84 (-63%).
- Base 33% Runway continues; margin grinds to ~11%; ~\$15.20 (-43%).
- Bull 17% Leverage inflects + glasses optionality; ~\$24.03 (-9%).
- Ultra Bull 8% Full inflection + glasses second act; ~\$33.41 (+26%).

Bull (17%) + Ultra Bull (8%) together contribute \$6.76 — 44% of the \$15.33 expected value despite 25% combined probability. Today's spot (\$24.60) sits 60% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.



| ULTRA BEAR                                   | \$5.98         | BEAR                                         | \$9.84         | BASE                                         | \$15.20        | BULL                                            | \$24.03       | ULTRA BULL                                   | \$33.41        |
|----------------------------------------------|----------------|----------------------------------------------|----------------|----------------------------------------------|----------------|-------------------------------------------------|---------------|----------------------------------------------|----------------|
|                                              | -75.7% vs spot |                                              | -60.0% vs spot |                                              | -38.2% vs spot |                                                 | -2.3% vs spot |                                              | +35.8% vs spot |
| CAGR +4.0% WACC 11.5%<br>CAGR +4.0% Prob 15% |                | CAGR +7.2% WACC 10.5%<br>CAGR +7.2% Prob 27% |                | CAGR +9.8% WACC 10.0%<br>CAGR +9.8% Prob 33% |                | CAGR +12.0% WACC 9.5%<br>CAGR +12.0% Prob 17%   |               | CAGR +14.2% WACC 9.2%<br>CAGR +14.2% Prob 8% |                |
| Growth stalls; margin never inflects.        |                | Stores grow; leverage comes slowly.          |                | Runway continues; margin grinds to ~11%.     |                | Leverage inflects to ~15%; glasses optionality. |               | Full inflection + glasses second act.        |                |

PROBABILITY WEIGHTS

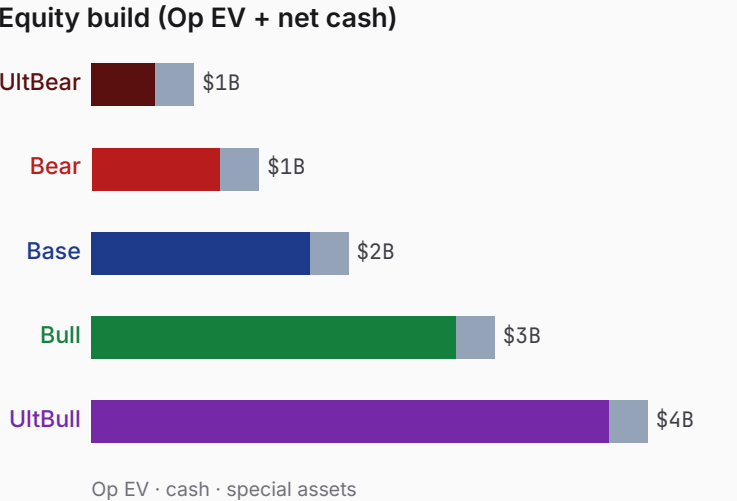
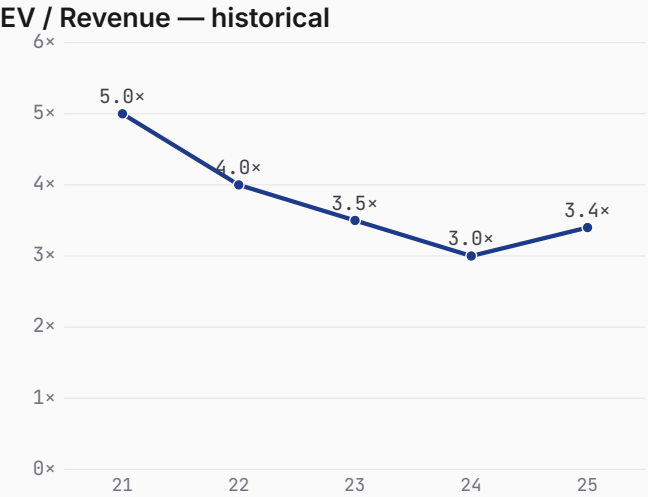
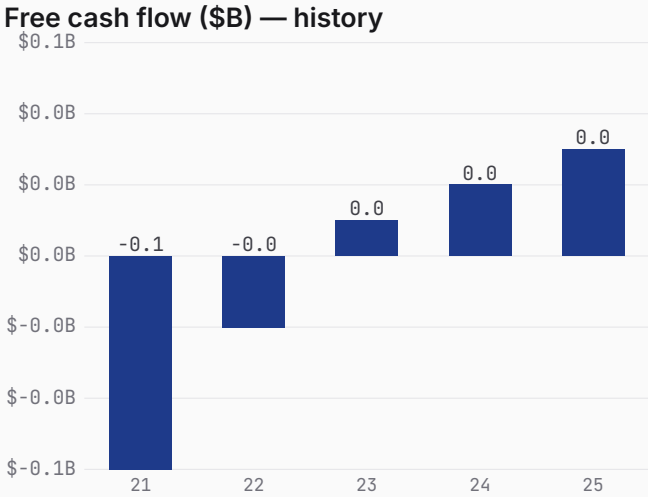
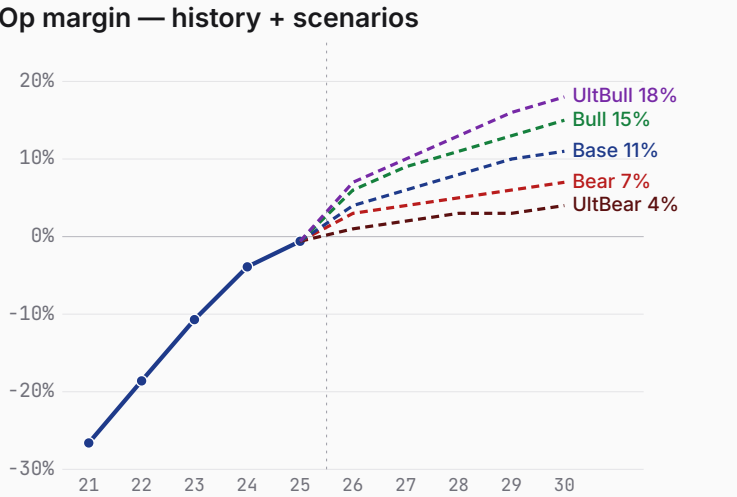
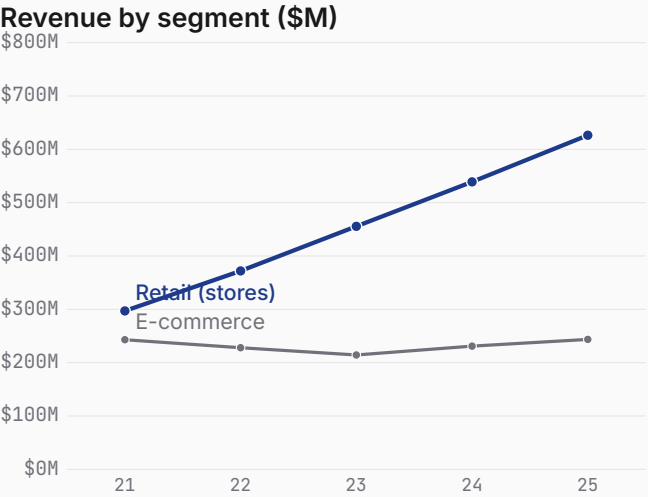
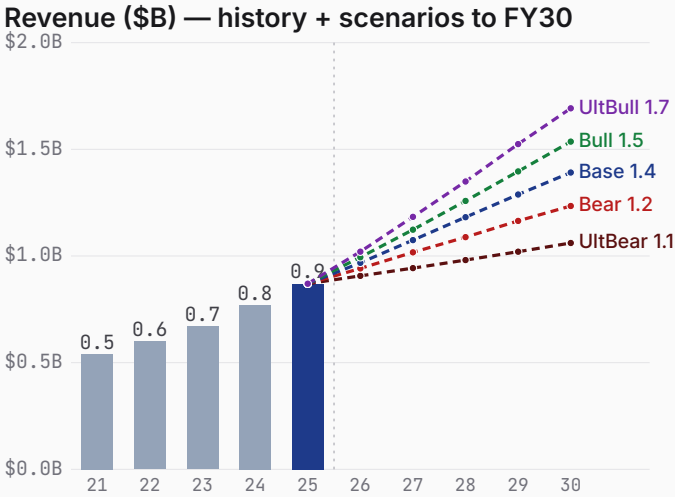
Ultra Bear 15% Bear 27% Base 33% Bull 17% Ultra Bull 8% · Weighted expected \$15.33 (-37.7% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                          | \$5.98         | BEAR                                                                                                                                                                                                                                                                  | \$9.84         | BASE                                                                                                                                                                                                                                                                                                           | \$15.20        | BULL                                                                                                                                                                                                                                                                                                                                                                                                | \$24.03       | ULTRA BULL                                                                                                                                                                                                                                                                                                                                    | \$33.41        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                     | -75.7% vs spot |                                                                                                                                                                                                                                                                       | -60.0% vs spot |                                                                                                                                                                                                                                                                                                                | -38.2% vs spot |                                                                                                                                                                                                                                                                                                                                                                                                     | -2.3% vs spot |                                                                                                                                                                                                                                                                                                                                               | +35.8% vs spot |
| Probability 15%                                                                                                                                                                                                                                                                                                                     |                | Probability 27%                                                                                                                                                                                                                                                       |                | Probability 33%                                                                                                                                                                                                                                                                                                |                | Probability 17%                                                                                                                                                                                                                                                                                                                                                                                     |               | Probability 8%                                                                                                                                                                                                                                                                                                                                |                |
| Growth stalls; margin never inflects.                                                                                                                                                                                                                                                                                               |                | Stores grow; leverage comes slowly.                                                                                                                                                                                                                                   |                | Runway continues; margin grinds to ~11%.                                                                                                                                                                                                                                                                       |                | Leverage inflects to ~15%; glasses optionality.                                                                                                                                                                                                                                                                                                                                                     |               | Full inflection + glasses second act.                                                                                                                                                                                                                                                                                                         |                |
| WHY 15%                                                                                                                                                                                                                                                                                                                             |                | WHY 27%                                                                                                                                                                                                                                                               |                | WHY 33%                                                                                                                                                                                                                                                                                                        |                | WHY 17%                                                                                                                                                                                                                                                                                                                                                                                             |               | WHY 8%                                                                                                                                                                                                                                                                                                                                        |                |
| The genuine bear: active-customer growth is already only +4.8% TTM, gross margin slipped to 54.0% from 56.3%, and GAAP profit is a few million dollars that easily flips negative. 15% on the inflection never showing up.                                                                                                          |                | Units and revenue grow but the capital and SBC intensity keep margins suppressed — the plausible 'grows but doesn't lever' path given the customer-growth deceleration. 27% weight.                                                                                   |                | Requires the store-led leverage to show up and FCF to scale as cohorts mature — consistent with the FY26 ~12% EBITDA guide and the new-store economics, but not a step-change. 33% as the central outcome, still ~43% from a price that pre-pays the ramp.                                                     |                | The Wingstop-style 'leverage finally shows up' path plus a maturing store base make a real EBITDA inflection credible; the glasses add free optionality. ~17% weight on the inflection landing.                                                                                                                                                                                                     |               | Margins AND units AND revenue/customer AND the glasses optionality all land — the long-duration tail where the price's embedded inflection actually arrives and then some. ~8%.                                                                                                                                                               |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                        |                | WHAT HAPPENS                                                                                                                                                                                                                                                          |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                   |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                                        |               | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                  |                |
| Customer growth keeps decelerating below ~+5%, the model leans on price not new buyers, gross margin compresses further from 54%, and the operating leverage never arrives: EBITDA stays mired near ~12% while GAAP stays at a small loss/breakeven and FCF margin crawls 2-5%. SBC dilution offsets what little cash is generated. |                | Stores keep opening (~50/yr) and revenue compounds ~7% toward ~\$1.2B, but operating leverage is grudging: EBITDA inches up while gross-margin pressure and SBC keep GAAP profit thin and FCF margin near 7%. The unit runway is real; the margin step-change is not. |                | The modal path: the store base compounds low-double-digit toward ~900-1,000 units, holistic vision (eye exams, insurance/HSA, contacts) lifts revenue/customer, and operating margin grinds from ~0% toward ~11% with FCF margin reaching ~10% as new-store cohorts mature. Revenue compounds ~10% to ~\$1.4B. |                | Store-led operating leverage finally lands: a maturing unit base drives EBITDA toward the high-teens, gross margin stabilizes, GAAP profit turns durable and FCF margin reaches ~13% — and the Google Android XR / Gemini AI-smart-glasses program (a free, \$150M-committed call-option outside guidance) starts to read as a credible Meta-Ray-Ban competitor. Revenue compounds ~12% to ~\$1.5B. |               | Everything works: the unit machine marches toward multi-thousand US TAM, operating margin reaches ~18% with FCF margin ~16%, holistic vision compounds revenue/customer, and the Google AI-glasses partnership becomes a real second revenue stream rather than a call-option. Revenue compounds ~14% to ~\$1.6B at a premium-brand multiple. |                |
| A decelerating, thin-margin brand that never inflects earns ~2x sales and a low-double-digit EBITDA multiple - > DCF ~\$5.98 (-77%). Net cash sets a floor, but at ~3x sales today the downside if the inflection fails is severe.                                                                                                  |                | DCF ~\$9.84 (-63%) — a single-digit grower whose EBITDA only crawls toward the mid-teens is worth well below ~3x sales; the market's premium assumes a faster inflection than this path delivers.                                                                     |                | DCF ~\$15.20 (-43%) — a genuine unit runway and a real margin grind, but at ~3x sales today the price already embeds that ramp; the modal case at a ~16x EBITDA multiple lands well below spot. The market is paying for the inflection in advance.                                                            |                | DCF ~\$24.03 (-9%) — if the margin inflection arrives, the de-rate-to-fair math nearly closes the gap to spot; this is the core of the bull, and it still does not clear today's price on the fundamentals alone.                                                                                                                                                                                   |               | DCF ~\$33.41 (+26%) — the only scenario that clears spot: a true margin inflection plus the glasses second act re-rate the brand. ~8% probability, the asymmetric upside the rich entry is buying.                                                                                                                                            |                |

Warby Parker business snapshot

Bear \$9.84 Base \$15.20 Bull \$24.03

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results + FY26 guidance



Sources: SEC XBRL company facts (CIK 1504776), Warby Parker Q1 FY2026 release (revenue \$242.4M/+8.3%, 2.69M active customers/+4.8% TTM, revenue/customer \$331, gross margin 54.0%, adj EBITDA \$29.6M/12.2%), FY26 guide (\$959-976M revenue, ~12.2% adj EBITDA), 323 stores end-2025 (+47), Google Android XR / Gemini glasses partnership (\$150M, not in guidance). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/EBITDA vs EssilorLuxottica, National Vision.

# Warby Parker 7 Powers · the moat, scored

Bear \$9.84 Base \$15.20 Bull \$24.03

**Arena.** Eyewear / premium consumer DTC — Warby Parker (vertically-integrated DTC brand, ~323 stores + e-commerce, ~4% US eyewear share) vs EssilorLuxottica (Ray-Ban/LensCrafters/Sunglass Hut), National Vision, Zenni/EyeBuyDirect, and the optical-retail incumbents; auditing a brand Power + a nascent vertical-integration process edge against a dominant incumbent and a thin margin.

**POWER AUDIT**  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                                                                                     |                                                                                                                                                                                               |
|-------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br><div><div></div><div></div><div></div></div>              | Vertical integration (in-house design, lens labs, optometry) gives a nascent cost/process edge, but tiny vs EssilorLuxottica's global manufacturing/retail scale.                             |
| <b>Network Economies</b><br><div><div></div><div></div><div></div></div>            | None — eyewear isn't a network; the app and Virtual Try-On are channels, not network effects.                                                                                                 |
| <b>Counter-Positioning</b><br><div><div></div><div></div><div></div></div>          | Was the DTC disruptor that undercut the EssilorLuxottica markup; now part-incumbent with its own stores, so the counter-position is narrowing.                                                |
| <b>Switching Costs</b><br><div><div></div><div></div><div></div></div>              | Weak — eyewear is a periodic, promiscuous purchase; holistic vision (exams/insurance) builds modest stickiness but no lock-in.                                                                |
| <b>Branding</b> · thesis leans here<br><div><div></div><div></div><div></div></div> | The dominant Power: a genuine premium DTC brand (design, price-transparency, Buy-a-Pair-Give-a-Pair) with pricing power — but a brand alone doesn't convert to EBITDA while margins are thin. |
| <b>Cornered Resource</b><br><div><div></div><div></div><div></div></div>            | In-house design/lens-lab capability + store locations; valuable but not truly cornered.                                                                                                       |
| <b>Process Power</b><br><div><div></div><div></div><div></div></div>                | Emerging: vertically-integrated retail + holistic-vision playbook and new-store economics; unproven at the scale the inflection needs — the bull's swing factor.                              |

PEER SET

|                                                                                                                                                                                             |                                 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| <b>EssilorLuxottica</b><br>The dominant incumbent — global lens manufacturing + Ray-Ban/LensCrafters/Sunglass Hut retail + the Meta smart-glasses partner Warby's Google glasses must beat. | 7% gr · 18% mgn · ~28x P/E      |
| <b>National Vision (EYE)</b><br>Value optical-retail operator (America's Best/Eyeglass World); the mass-market, capital-intensive store comp.                                               | 5% gr · 4% mgn · ~25x EV/EBITDA |
| <b>Zenni / EyeBuyDirect</b><br>Ultra-low-price online eyewear; the price-led share threat as Warby leans more on price than new customers.                                                  | · private                       |
| <b>Meta x EssilorLuxottica (Ray-Ban)</b><br>The AI-smart-glasses leader already in market — the competitor Warby's Google/Gemini program is chasing, not leading.                           | · part of EL                    |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Branding</b> · Zenni/EyeBuyDirect + value optical (price-led share)<br><b>falsifier:</b> Active-customer growth turns price-led and decelerates below ~+4% while gross margin compresses below ~53%.                             |
| <b>Process Power</b> · Capital intensity + SBC (the margin inflection)<br><b>falsifier:</b> Adj-EBITDA margin stays stuck near ~12% for 2+ years while FCF margin stalls near 5% — leverage never shows up.                         |
| <b>Counter-Positioning</b> · Meta-EssilorLuxottica AI glasses<br><b>falsifier:</b> The Google/Gemini glasses slip or launch behind Ray-Ban Meta, so the optionality the bull/ultra-bull rely on fails to read as a real competitor. |

COMPETITIVE READ

Warby Parker's brand Power is genuine — a premium, vertically-integrated DTC eyewear name with real pricing power and a nascent process edge from in-house design/lens labs/optometry — but a brand does not convert to free cash flow while the adjusted-EBITDA margin sits near ~12% and GAAP profit flips between a few million dollars and breakeven. The Audit: branding is durable (medium), process\_power (store-led vertical integration) is the emerging swing factor, and the live threats are capital/SBC intensity capping the margin inflection plus price-led share loss to Zenni/value optical; the Google AI-glasses program is upside optionality, not the base, and it chases a Meta-EssilorLuxottica leader. At ~3x sales the price already embeds the margin ramp and some of the glasses optionality, so the weighted DCF is -42.1% and the modal case lands -43% — only the ultra-bull's full inflection-plus-second-act clears spot.

Warby Parker show your work

Bear \$9.84 Base \$15.20 Bull \$24.03 · Weighted \$15.33 (-37.7%)

| ULTRA BEAR\$5.98                          |         |         |         |        | BEAR\$9.84                                |         |         |         |        | BASE\$15.20                               |         |         |          |        | BULL\$24.03                               |         |         |          |        | ULTRA BULL\$33.41                         |         |          |          |        |
|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|---------|----------|--------|-------------------------------------------|---------|---------|----------|--------|-------------------------------------------|---------|----------|----------|--------|
| ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |         |          |        | ASSUMPTIONS                               |         |         |          |        | ASSUMPTIONS                               |         |          |          |        |
| 5y revenue CAGR (%)                       |         |         |         |        | +4.0                                      |         |         |         |        | +7.2                                      |         |         |          |        | +9.8                                      |         |         |          |        | +12.0                                     |         |          |          |        |
| Year-5 op margin (%)                      |         |         |         |        | 4.0                                       |         |         |         |        | 7.0                                       |         |         |          |        | 11.0                                      |         |         |          |        | 15.0                                      |         |          |          |        |
| WACC (%)                                  |         |         |         |        | 11.5                                      |         |         |         |        | 10.5                                      |         |         |          |        | 10.0                                      |         |         |          |        | 9.5                                       |         |          |          |        |
| Terminal growth (%)                       |         |         |         |        | 2.5                                       |         |         |         |        | 3.0                                       |         |         |          |        | 3.0                                       |         |         |          |        | 3.5                                       |         |          |          |        |
| 5y revenue CAGR (%)                       |         |         |         |        | +4.0                                      |         |         |         |        | +7.2                                      |         |         |          |        | +9.8                                      |         |         |          |        | +12.0                                     |         |          |          |        |
| Starting revenue (\$B)                    |         |         |         |        | 0.87                                      |         |         |         |        | 0.87                                      |         |         |          |        | 0.87                                      |         |         |          |        | 0.87                                      |         |          |          |        |
| Scenario probability (%)                  |         |         |         |        | 15                                        |         |         |         |        | 27                                        |         |         |          |        | 33                                        |         |         |          |        | 17                                        |         |          |          |        |
| 5-YEAR DCF · \$B                          |         |         |         |        | 5-YEAR DCF · \$B                          |         |         |         |        | 5-YEAR DCF · \$B                          |         |         |          |        | 5-YEAR DCF · \$B                          |         |         |          |        | 5-YEAR DCF · \$B                          |         |          |          |        |
| FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin  | FCF      | PV FCF | FY                                        | Rev     | Margin  | FCF      | PV FCF | FY                                        | Rev     | Margin   | FCF      | PV FCF |
| FY26                                      | 0.91    | +1%     | +0.02   | +0.02  | FY26                                      | 0.94    | +3%     | +0.04   | +0.03  | FY26                                      | 0.97    | +4%     | +0.05    | +0.04  | FY26                                      | 0.99    | +6%     | +0.07    | +0.06  | FY26                                      | 1.02    | +7%      | +0.08    | +0.07  |
| FY27                                      | 0.94    | +2%     | +0.03   | +0.02  | FY27                                      | 1.02    | +4%     | +0.05   | +0.04  | FY27                                      | 1.07    | +6%     | +0.07    | +0.06  | FY27                                      | 1.12    | +9%     | +0.10    | +0.08  | FY27                                      | 1.18    | +10%     | +0.13    | +0.11  |
| FY28                                      | 0.98    | +3%     | +0.04   | +0.03  | FY28                                      | 1.09    | +5%     | +0.07   | +0.05  | FY28                                      | 1.18    | +8%     | +0.10    | +0.07  | FY28                                      | 1.26    | +11%    | +0.14    | +0.10  | FY28                                      | 1.35    | +13%     | +0.17    | +0.13  |
| FY29                                      | 1.02    | +3%     | +0.04   | +0.03  | FY29                                      | 1.16    | +6%     | +0.08   | +0.05  | FY29                                      | 1.29    | +10%    | +0.12    | +0.08  | FY29                                      | 1.40    | +13%    | +0.17    | +0.12  | FY29                                      | 1.52    | +16%     | +0.23    | +0.16  |
| FY30                                      | 1.06    | +4%     | +0.05   | +0.03  | FY30                                      | 1.23    | +7%     | +0.09   | +0.05  | FY30                                      | 1.39    | +11%    | +0.14    | +0.09  | FY30                                      | 1.54    | +15%    | +0.20    | +0.13  | FY30                                      | 1.69    | +18%     | +0.27    | +0.17  |
| Σ PV explicit FCF                         |         |         |         |        | +0.12                                     |         |         |         |        | Σ PV explicit FCF                         |         |         |          |        | +0.34                                     |         |         |          |        | +0.50                                     |         |          |          |        |
| + PV terminal (g 2.5%)                    |         |         |         |        | 0.35                                      |         |         |         |        | + PV terminal (g 3.0%)                    |         |         |          |        | 2.19                                      |         |         |          |        | 3.17                                      |         |          |          |        |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |         |          |        | EQUITY BUILD · \$B & PER SHARE            |         |         |          |        | EQUITY BUILD · \$B & PER SHARE            |         |          |          |        |
| Operating EV                              |         |         |         |        | \$0.47B                                   |         |         |         |        | Operating EV                              |         |         |          |        | Operating EV                              |         |         |          |        | Operating EV                              |         |          |          |        |
| + Cash & investments                      |         |         |         |        | \$0.29B                                   |         |         |         |        | + Cash & investments                      |         |         |          |        | + Cash & investments                      |         |         |          |        | + Cash & investments                      |         |          |          |        |
| = Equity value                            |         |         |         |        | \$0.76B                                   |         |         |         |        | = Equity value                            |         |         |          |        | = Equity value                            |         |         |          |        | = Equity value                            |         |          |          |        |
| FY30 shares (M)                           |         |         |         |        | 127                                       |         |         |         |        | FY30 shares (M)                           |         |         |          |        | FY30 shares (M)                           |         |         |          |        | FY30 shares (M)                           |         |          |          |        |
| = Expected per share                      |         |         |         |        | \$5.98                                    |         |         |         |        | = Expected per share                      |         |         |          |        | = Expected per share                      |         |         |          |        | = Expected per share                      |         |          |          |        |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |          |        |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y    | +20y     |        | +5y                                       | +10y    | +15y    | +20y     |        | +5y                                       | +10y    | +15y     | +20y     |        |
| \$10.31                                   | \$17.76 | \$30.61 | \$52.75 |        | \$16.21                                   | \$26.71 | \$44.00 | \$72.48 |        | \$24.48                                   | \$39.42 | \$63.49 | \$102.26 |        | \$37.83                                   | \$59.55 | \$93.75 | \$147.58 |        | \$51.88                                   | \$80.56 | \$125.09 | \$194.24 |        |
| 0.42×                                     | 0.72×   | 1.24×   | 2.14×   |        | 0.66×                                     | 1.09×   | 1.79×   | 2.95×   |        | 1.00×                                     | 1.60×   | 2.58×   | 4.16×    |        | 1.54×                                     | 2.42×   | 3.81×   | 6.00×    |        | 2.11×                                     | 3.27×   | 5.08×    | 7.90×    |        |

Warby Parker

People · Opportunity · Context · Deal

Bear \$9.84 Base \$15.20 Bull \$24.03

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Neil Blumenthal & Dave Gilboa (co-CEOs) · founder-led

15 yrs in seat

18%insider ownership

MEDIUMkey-person risk

**Capital allocation (realized)**  
Co-founders Neil Blumenthal and Dave Gilboa have run Warby Parker as co-CEOs since 2010 (and are co-chairs of the board). FY2025 was the first full GAAP-profitable year (+\$1.6M), on ~\$872M revenue (+13%) and a net-cash balance sheet (~\$286M, no debt). Capital return just began — a first-ever \$100M buyback (Feb 2026), no dividend. A new Google/Samsung smart-glasses partnership brings up to \$75M of product-development funding plus an optional up-to-\$75M equity investment.

**Incentive alignment**  
The co-CEOs are modestly paid (~\$1.5M each, FY2024) with long-term incentives tied to multi-year stock-price hurdles. Their alignment is the founding stake; insider trading is programmatic 10b5-1 selling, no open-market buying. A seasoned external CFO (ex-Macy's) was added in early 2026, deepening the bench.

GOVERNANCE FLAGS

- multi-class super-voting: Class B = 10 votes per share (founders); the co-founders together hold ~48% of the vote on a smaller economic stake — significant but below a majority
- co-CEO structure, and the co-CEOs are also co-chairs of the board (combined Chair/CEO) — mitigated by a lead independent director (Ronald Williams)
- a fixed dual-class sunset (Oct 2031), plus transfer and death/disability triggers — a real positive vs. no-sunset peers
- classified / staggered board (three classes) — an entrenchment feature
- 7 of 9 directors independent; below the 50% controlled-company threshold (does not appear to rely on controlled-company exemptions)

PEOPLE READ

Dual-class super-voting with the co-founders also serving as co-chairs caps it below the clean tier, but it is a solid 3: the founders hold ~48% of the vote (below a controlling majority, so not a controlled company), there is a fixed 2031 sunset (which most dual-class names lack), a 7-of-9 independent board with a lead independent director, and the company just turned profitable with its first buyback. Key-person risk is moderate — dependence on the two-founder partnership, but split across two people with a professionalized bench.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the ~42.1% finding) + position sizing.

Warby Parker supporting analysis · disclaimers · glossary

Bear \$9.84 Base \$15.20 Bull \$24.03

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **At ~3x sales the price already embeds the margin ramp.**  
The weighted DCF is -42.1% and the modal base is -43% — only the ultra-bull (+26%) clears spot; the inflection is pre-paid, not a free upside.

4 **Gross-margin compression is the watch-item.**  
Gross margin fell to 54.0% from 56.3% and GAAP profit is a few million dollars; thin profitability plus SBC dilution is what 'never inflects' looks like.
- 2 **The Google glasses are a genuine free call-option.**  
\$150M committed, Android XR + Gemini, NOT in 2026 guidance — credible optionality, but it lives only in the bull/ultra-bull.

5 **Net cash, p\_fail ~0.**  
\$286M cash, no debt — no solvency risk; the downside here is multiple/margin (the inflection failing), not survival.

- 3 **Stores are the engine and the economics work.**  
323 stores end-2025 (+47), guiding ~50 more in 2026 at profitable economics; the ~900-1,000+ unit runway must convert to EBITDA.

FALSIFICATION TRIGGERS

Bull validation

adj-EBITDA margin expands above ~14-15% · active-customer growth re-accelerates above +5-6% · gross margin recovers toward 56% · Google AI-glasses ship as a real Meta-Ray-Ban competitor

Bear validation

customer growth decelerates below ~+4% / turns price-led · gross margin compresses below ~53% · GAAP turns back to a loss and FCF margin stalls near 5% · glasses slip

Reframe needed

if EBITDA margin stays stuck near ~12% for 2+ years while customer growth fades, the inflection thesis breaks — re-rate the terminal toward a thin-margin specialty retailer, not a premium-brand compounder

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Active customers** — Trailing-12-month buyers (2.69M, +4.8% TTM); the demand gauge — decelerating growth, increasingly price- not customer-led, is the central bear signal.

**Revenue per customer** — TTM revenue / active customer (~\$331, +6.9%); rising as holistic vision (eye exams, insurance/HSA, contacts) deepens the wallet — the offset to slowing customer counts.

**Adjusted EBITDA margin** — Non-GAAP operating profitability (~12.2%); the swing-factor metric — whether store-led scale lifts it toward high-teens/20% is the whole question.

**Android XR / Gemini glasses** — Google-partnered AI smart glasses (\$150M committed, launching 2026, not in guidance) — a call-option to compete with Meta-Ray-Ban, upside not base case.

**FCF margin** — Free cash flow / revenue (~3% FY25); the mature-DCF lever — whether the unit runway and holistic-vision upsell convert thin EBITDA into durable free cash flow.